

COMMITTEE ON FINANCE
SENATE AMENDMENTS TO S.B. 1293
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

[GREEN STRIKEOUT IN BRACKETS] indicates new text removed from statute or previously enacted session law.

[Green strikeout in brackets] indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

<<Green strikeout in carets>> indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 42-6209, Arizona Revised Statutes, is amended to
3 read:

4 42-6209. Abatement of tax for government property
5 improvements in single central business district:
6 definition

7 A. A city or town may abate the tax provided for under this article
8 for a limited period beginning when the certificate of occupancy is issued
9 and ending eight years after the certificate of occupancy is issued on a
10 government property improvement that is constructed either before or after
11 July 20, 1996 and that meets the following requirements:

12 1. The GOVERNMENT PROPERTY improvement is located in a single
13 central business district in the city or town and is subject to a lease or
14 development agreement entered into on or after April 1, 1985. For the
15 purposes of this section:

16 (a) A city or town shall not designate more than one central
17 business district within its corporate boundaries.

18 (b) A city or town shall not approve or enter into a development
19 agreement or lease for a government property improvement within one year
20 after the designation of the central business district in which the
21 GOVERNMENT PROPERTY improvement is located.

22 (c) "Central business district" means a single and contiguous
23 geographical area that is designated by resolution of the governing body
24 of the city or town and that is geographically compact and not larger than
25 the greatest of the existing total land area of the central business
26 district of the city or town as of January 1, 2018, two and one-half
27 percent of the total land area within the exterior boundaries of the city
28 or town or nine hundred sixty acres. For the purposes of this

1 subdivision, any central business district formed before January 1, 2018
2 is considered to be geographically compact. For the expanded areas of an
3 existing central business district only and the new designation of a
4 central business district formed on or after January 1, 2018 and for the
5 purposes of this subdivision, "geographically compact" means a form or
6 shape that has a length that is not more than twice its width as measured
7 from at least four points on the exterior boundary of the expanded areas
8 of an existing central business district or a central business district
9 formed on or after January 1, 2018.

10 2. The GOVERNMENT PROPERTY improvement is located entirely within a
11 slum or blighted area that is designated pursuant to title 36, chapter 12,
12 article 3.

13 3. The government property improvement resulted or will result in
14 an increase in property value of at least one hundred percent.

15 B. The prime lessee shall notify the county treasurer and the
16 government lessor and apply for the abatement before the taxes under this
17 article are due and payable in the first year after the certificate of
18 occupancy is issued.

19 C. Except as provided by subsection D of this section, each lease
20 between a prime lessee and a government lessor for which the tax is abated
21 under this section that is entered into from and after May 31, 2010, and
22 that does not meet the conditions provided in section 42-6203, subsection
23 A must be approved by a simple majority vote of the governing body without
24 using a consent calendar and shall not be approved unless:

25 1. The government lessor notifies the governing bodies of the
26 county and any city, town and school district in which the government
27 property improvement is located at least sixty days before the approval.
28 The notice must include the name and address of the intended prime lessee,
29 the location and proposed use of the government property improvement and
30 the proposed term of the lease or development agreement.

31 2. The government lessor determines that, within the term of the
32 lease or development agreement, the economic and fiscal benefit to this
33 state and the county, city or town in which the government property
34 improvement is located will exceed the benefits received by the prime
35 lessee as a result of the development agreement or lease on the basis of
36 an estimate of those benefits prepared by an independent third party in a
37 manner and method acceptable to the governing body of the government
38 lessor. The estimate must be provided to the government lessor and the
39 governing bodies of the county and any city, town and school district in
40 which the government property improvement is located at least thirty days
41 before the vote of the governing body. A lease or development agreement
42 between a prime lessee and a government lessor involving residential
43 rental housing is exempt from the economic estimate analysis requirements
44 of this paragraph.

45 3. The lease or development agreement provides that the government
46 lessor may not approve an amendment to change the use of the government
47 property improvement during the period of abatement unless:

1 (a) The government lessor notifies the governing bodies of the
2 county and any city, town and school district in which the government
3 property improvement is located at least sixty days before the approval.
4 The notice must include the name and address of the prime lessee, the
5 location and proposed use of the government property improvement and the
6 remaining term of the lease or development agreement.

7 (b) The government lessor determines that, within the remaining
8 term of the lease or development agreement, the economic and fiscal
9 benefit to this state and the county, city or town in which the government
10 property improvement is located will exceed the benefits received by the
11 prime lessee as a result of the change in the lease or development
12 agreement on the basis of an estimate of those benefits prepared by an
13 independent third party in a manner and method acceptable to the governing
14 body of the government lessor. The estimate must be provided to the
15 government lessor and the governing bodies of the county and any city,
16 town and school district in which the government property improvement is
17 located at least thirty days before the vote of the governing body. A
18 change in use under a lease or development agreement between a prime
19 lessee and a government lessor to residential rental housing is exempt
20 from the economic estimate analysis requirements of this subdivision.

21 D. Subsection C of this section does not apply if:

22 1. The tax is not abated under this section.

23 2. The government lessor is acting as a commercial landlord without
24 a development agreement in a lease for a use ancillary to a government
25 property improvement used for a public purpose.

26 E. The designation of a slum or blighted area that is originally
27 designated from and after September 30, 2018 and in which a central
28 business district is located automatically terminates on the tenth
29 anniversary after the designation unless the city or town formally renews
30 or modifies all or part of the slum or blighted area designation. The
31 termination of a slum or blighted area designation under this subsection
32 does not affect any existing project described in section 35-701,
33 paragraph 7, subdivision (a), item (ix) that is within the designated
34 area. Before the tenth anniversary of its designation, the city or town
35 shall review the area and, pursuant to the review, shall either renew,
36 modify or terminate the designation. If the city or town renews or
37 modifies the original designation, the slum or blighted area designation
38 is subject to subsequent reviews on a ten-year cycle. If the city or town
39 fails to renew or modify the designation, the slum or blighted area
40 designation automatically terminates five years after the review. This
41 subsection does not apply to leases or development agreements to lease
42 government property if either of the following conditions is met with
43 respect to any such excluded area:

44 1. The lease of the government property improvement was entered
45 into before the termination or modification of the slum or blighted area
46 designation.

1 2. A development agreement, ordinance or resolution was approved by
2 the governing body of the government lessor before the termination or
3 modification of the slum or blighted area designation that authorized a
4 lease on the occurrence of specified conditions and the lease was entered
5 into within five years after the date the development agreement was
6 entered into or the ordinance or resolution was approved by the governing
7 body.

8 F. Before October 1, 2020, each city or town shall review the
9 designation of each slum or blighted area that was originally designated
10 before September 30, 2018 and in which a central business district is
11 located. All such slum or blighted areas in which a central business
12 district is located are considered to be valid. Pursuant to the review,
13 the city or town shall either renew, modify or terminate the
14 designation. If the city or town renews or modifies the original
15 designation, the slum or blighted area designation is subject to
16 subsequent reviews on a ten-year cycle. If the city or town fails to
17 renew or modify the designation, the slum or blighted area designation
18 automatically terminates from and after September 30, 2025, or five years
19 after any subsequent review. The termination of a slum or blighted area
20 designation under this subsection does not affect:

21 1. Any existing project described in section 35-701, paragraph 7,
22 subdivision (a), item (ix) that is within the designated area.

23 2. Any lease or development agreement to lease government property
24 if either of the following conditions is met with respect to the slum or
25 blighted area:

26 (a) The lease of the government property improvement was entered
27 into before the termination or modification of the slum or blighted area
28 designation.

29 (b) A development agreement, ordinance or resolution was approved
30 by the governing body of the government lessor before the termination or
31 modification of the slum or blighted area designation that authorized a
32 lease on the occurrence of specified conditions and the lease was entered
33 into within five years after the date the development agreement was
34 entered into or the ordinance or resolution was approved by the governing
35 body.

36 G. Notwithstanding section 42-6206, subsection C, beginning with
37 development agreements, ordinances or resolutions to lease government
38 property improvements approved by the governing body of the government
39 lessor from and after December 31, 2016, the lease period for a property
40 for which the tax is abated under this section may not exceed eight years,
41 including any abatement period, regardless of whether the lease is
42 transferred or conveyed to subsequent prime lessees during that
43 period. As soon as reasonably practicable but within twelve months after
44 the expiration date of the lease, the government lessor must convey to the
45 current prime lessee title to the government property improvement and the
46 underlying land. Property conveyed to the prime lessee under this
47 subsection does not qualify for classification as class six property or

1 for any other discounted assessment regardless of the location or
2 condition of the property. This subsection does not apply to leases or
3 development agreements to lease government property if either of the
4 following occurred before January 1, 2017:

5 1. A corresponding resolution or ordinance for the lease or intent
6 to lease such property subject to this section was approved by the
7 governing body of the government lessor.

8 2. A proposal was submitted to the government lessor in response to
9 a request for proposals.

10 H. NOTWITHSTANDING SUBSECTION A OF THIS SECTION, FOR DEVELOPMENT
11 AGREEMENTS FOR THE LEASE OF GOVERNMENT PROPERTY IMPROVEMENTS APPROVED BY A
12 GOVERNING BODY FROM AND AFTER THE EFFECTIVE DATE OF THIS AMENDMENT TO THIS
13 SECTION, THE ABATEMENT OF TAX UNDER THIS ARTICLE IS LIMITED TO THE AMOUNTS
14 OTHERWISE DESIGNATED FOR COUNTIES, CITIES, TOWNS AND COMMUNITY COLLEGE
15 DISTRICTS PURSUANT TO SECTION 42-6205, SUBSECTION B, PARAGRAPHS 1, 2
16 AND 3[.] THE PROPORTIONAL AMOUNT OF GOVERNMENT PROPERTY LEASE EXCISE TAX
17 REVENUE FOR SCHOOL DISTRICTS PURSUANT TO SECTION 42-6205, SUBSECTION B,
18 PARAGRAPH 4 MAY NOT BE ABATED.

19 Enroll and engross to conform

20 Amend title to conform

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